

THREAT OF BEING FIRED MAY ALSO DISTORT POLICIES

THREAT OF FIRING

The threat of being fired incentivizes leaders to choose policies that voters want

This threat does not always work

Today: This threat may even backfire

- ▶ If voters are uncertain about what is best for them

OUTLINE

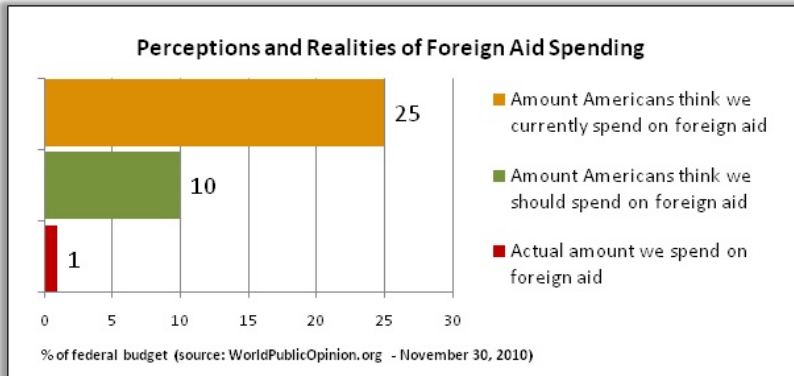
PANDERING

ENTRENCHMENT

TAKING STOCK

FOREIGN AID EXAMPLE

In his second term, President Trump sharply reduced US spending on foreign aid



Can the figure above provide an explanation?

CITIZENS ARE NOT PERFECTLY INFORMED

In previous lectures, we assumed that citizens perfectly know which policies are good for them

In reality, they may be **underinformed**:

- ▶ May not know the details of the policy
- ▶ May not be aware of all possible consequences
- ▶ May not know the details of the current circumstances
- ▶ Citizens may not anticipate delayed costs or benefits

Ex ante popular policies may not actually serve citizens' interest

Leaders are frequently better informed than the electorate

WHAT IS PANDERING?

Pandering is when

- ▶ In hope to be selected
- ▶ Leaders pursue a policy that **underinformed** selectorate believes is good for them
- ▶ Even though the leaders know it actually does not serve the selectorate interests

A leader may pander even if their **policy preferences perfectly align** with the preferences of the selectorate

EXAMPLE

Policies A and B

B is better for all citizens

Citizens wrongly believe A is better

- ▶ A may have been good in the past but circumstances have changed since
- ▶ A may have immediate benefits that citizens observe but delayed costs that they do not anticipate

Suppose there are two candidates

Suppose voters believe each candidate may benefit from A or B

What will the candidates offer?

EXAMPLE

What will voters think if one offers A and the other B?

Since they believe A is better for them, they will go for A

This incentivizes each leader to offer A regardless of her preference

So even if both candidates who also benefit from B, they both may **pander** to voters incorrect beliefs

What would leaders choose if they didn't worry about being fired?

INCENTIVES TO PANDER ARE DRIVEN BY FEAR OF BEING FIRED

A leader not running for office or with low chance of losing office has little incentive to pander

Trade-off: The threat of firing

- ▶ Incentivizes the leader to do what voters want
- ▶ This may backfire if leaders and voters preferences are aligned but voters hold incorrect beliefs about what policies are good for them

EXAMPLE: GREEK FINANCIAL CRISIS

Before 2009, Greek politicians

- ▶ Over-promised general and stable public benefits
- ▶ Under-enforced taxes
- ▶ Downplayed budget deficits
- ▶ Misled voters about EU bailout
- ▶ Avoided costly fiscal reforms

Policies were popular: voters see the benefits and fail to correctly anticipate the long term costs

Politicians also provided misleading information to citizens

COUNTEREXAMPLE: GERMANY

In late 1990s to early 2000s, Germany faced a similar situation

- ▶ Weak economy and high unemployment
- ▶ Mounting budget deficit from social security
- ▶ Pressure from EU

German Chancellor Gerhard Schröder (SPD) did the opposite:

Agenda 2010

- ▶ Cut benefit and tightened application requirements
- ▶ Labor market deregulation
- ▶ Explicitly acknowledged problems and "no alternative"
- ▶ Reformed before external entities forced its hand

COUNTEREXAMPLE: GERMANY

Political survival $\neq$ policy outcomes

- ▶ Schröder lost politically (SPD split)
- ▶ Economic benefit came later under Angela Merkel (2005)

"I would like to personally thank Federal Chancellor Schröder for his courage and steadfastness in opening a door with Agenda 2010, a door to reform, and for implementing the Agenda in the face of resistance. In doing so, he did our country a great service. I would like to thank him for this, and other achievements, in the name of all Germans."

- Angela Merkel, 2005

SHOULD WE EXPECT MORE PANDERING IN UPPER OR LOWER LEGISLATIVE CHAMBERS?

In most bicameral legislatures, upper-chamber legislators are elected for longer terms than lower-chamber legislators

- ▶ Example: US Senator serve six-year terms, while US Representatives serve two-year terms

According to the pandering framework, would you expect upper- or lower-chamber legislators to pander more?

INCENTIVES TO PANDER DEPEND ON WHEN THE NEXT SELECTION OF THE LEADER IS

Once a policy is implemented, citizens learn over time whether it is good for them

If they learn before the next time they decide on the leader, they will understand the leader pandered

Having long term ahead decreases leader's incentives to pander

LEADERS MAY NOT WANT TO SHARE INFORMATION

Consider our example with A and B

Suppose the leader shares citizens preferences and knows B is better for them

Can she tell voters that?

- ▶ If she has evidence that B is better, she will convince them
- ▶ If she just claims B is better, voters do not know if she is lying because she prefers B for herself—the same pandering logic holds

Suppose the leader prefers A

- ▶ She has no incentive to correct voters' beliefs

SHOULD WE LIVE STREAM COUNCIL MEETINGS?

In recent years, technological developments have made it possible to live stream meetings in city councils and legislatures

How might this affect the behavior of policy makers?



WHEN IS INFORMATION GOOD?

Informing voters about **consequences of policies** is good:

- ▶ Removes possibility of pandering
- ▶ Helps voters to hold politicians accountable

Informing voters about the **actions** of the politicians is **good** when voters **know which policies are good for them**

- ▶ Helps them hold politicians accountable

Informing voters **about the actions** of the politicians may be **bad** when voters are **uncertain which policies are good for them**

- ▶ Incentivizes politicians to pander

OUTLINE

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POLITICAL ENTRENCHMENT

We studied what policies leaders choose to stay in power

Leaders also have incentives to stay in power by other means

Accountability works only if leaders can actually be removed

ENTRENCHMENT

Entrenchment: actions taken by incumbents to reduce chances that they lose office independent of their performance

Two channels to achieve entrenchment:

- ▶ Changing the rules
 - ▶ altering institutions, procedures, or constraints
- ▶ Changing the political environment
 - ▶ shaping voters, opponents, or information

Entrenchment is not the same as popularity!

A leader can be popular but not entrenched

- ▶ If she stops delivering good outcomes, selectorate is able to remove the leader

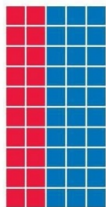
Problem arises if citizens can't remove poorly performing leader

HOW DO LEADERS ENTRENCH THEMSELVES

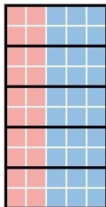
Shape the selectorate:

- ▶ Who belongs to the selectorate
- ▶ Who median voter is in the selectorate

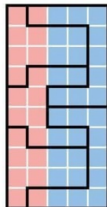
SHAPING THE SELECTORATE: GERRYMANDERING



50 PRECINCTS
60% BLUE
40% RED



5 DISTRICTS
5 BLUE
0 RED
BLUE WINS



5 DISTRICTS
3 RED
2 BLUE
RED WINS

America's Most Gerrymandered Districts

Most gerrymandered Congressional districts in the U.S.
according to compactness index*

1. Maryland's
3rd district

2. Texas's
33rd district

3. Illinois's
4th district



4. Texas's
35th district



5. Louisiana's
2nd district



* ratio of the area of the district to the area of a circle with the same perimeter
Source: Washington Post

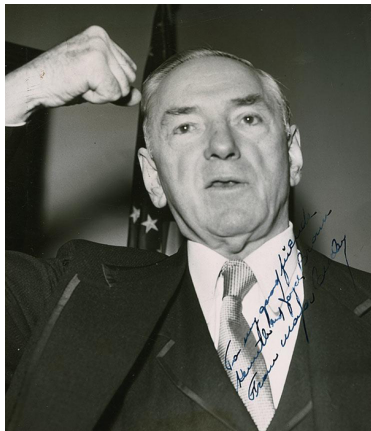


statista

SHAPING THE SELECTORATE: EXAMPLES

James Michael Curley a four-time Boston mayor pursued policies and rhetoric that effectively encouraged richer voters (who opposed him) to leave the city

Remaining electorate was more favorable to his coalition



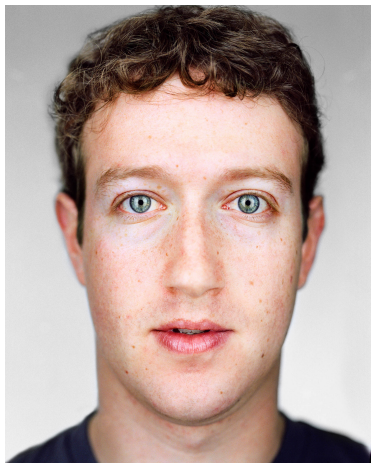
SHAPING THE SELECTORATE: EXAMPLES

Mark Zuckerberg, CEO at Meta

Meta has dual-class shares:

- ▶ Class A: 1 vote per share
(public investors)
- ▶ Class B: 10 votes per share
(mostly Zuckerberg)

Zuckerberg owns a minority of cash-flow rights but a majority of voting power



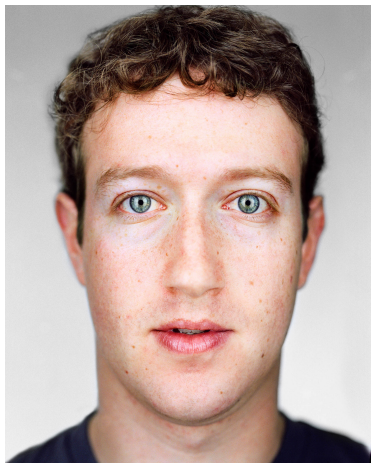
SHAPING THE SELECTORATE: EXAMPLES

Mark Zuckerberg, CEO at Meta

Board composition historically dominated by:

- ▶ Founder allies
- ▶ Insiders
- ▶ Limited independent challengers

Even an unhappy board cannot credibly discipline the CEO.



HOW DO LEADERS ENTRENCH THEMSELVES

Changing the identity of competition

- ▶ Removing high quality opponents from running
- ▶ Unequal access to media and campaign finance
- ▶ Prosecution of opponents
- ▶ Promotion of potential opponents

ALTERING INFORMATION

Capture media

- ▶ Alter or censor information about actions and qualities of the leader and the opponents

ALTERING INFORMATION: EXAMPLES

Victor Orban

Friends and supporters invested
in small media outlets

Donated them to a centralized
entity KESMA

Media-freedom monitoring
notes laws that threatened
harsh penalties for “distorted
truth”



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WHAT SHOULD LEADERS THINK ABOUT?

When choosing policies, leaders should ask:

- ▶ How large is the required winning coalition? What is the cheapest way to gain its support?
- ▶ What does the median selectorate member want?
- ▶ Which selectorate members are responsive to the offered policies?
- ▶ What policies voters think they want?

WHAT SHOULD GROUP MEMBERS THINK ABOUT?

- ▶ Can we increase the size of the winning coalition?
- ▶ Show up to vote to move the median voter towards you
- ▶ Convince the leader you are responsive to policies offered
- ▶ Be informed!

FOOD FOR THOUGHT: AUTOCRACIES V DEMOCRACIES

Based on the topics we covered so far, what differences in policies should we expect between autocracies and democracies?